

focus on their product, service or widget, but to focus on developing management skills. The three most important management skills necessary to start your own business are:

1. Management of cash flow.
2. Management of people.
3. Management of personal time.

I would say, the skills to manage these three apply to anything, not just entrepreneurs. The three matter in the way you live your life as an individual, or as part of a family, a business, a charitable organization, a city or a nation.

Each of these skills is enhanced by the mastery of self discipline. I do not take the saying “pay yourself first” lightly.

The Richest Man in Babylon, by George Classen, is where the statement “pay yourself first” comes from. Millions of copies have been sold. But while millions of people freely repeat that powerful statement, few follow the advice. As I said, financial literacy allows one to read numbers, and numbers tell the story. By looking at a person's income statement and balance sheet, I can readily see if people who spout the words “pay yourself first” actually practice what they preach.

A picture is worth a thousand words. So let's again compare the financial statements of people who pay themselves first against someone who doesn't.

People who pay themselves first

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+-----+
Job----->|Income |----
^ |-----|
| | Expense | |
\ +-----+ |
\ +-----<
---\---|-----+
| Assets | Liabilities |
| | |
|_____|_____|
  
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Someone who pays everyone else first- Often there is nothing left

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+-----+
Job----->|Income |
|-----
| Expense | ----> Nothing left!
+-----+
-----+
| Assets | Liabilities | | |
|_____|_____|
  
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